

Bus 719

Session 4

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Power, Structure, & Culture

- Structure, Culture and Power are interdependent. When well designed, they reinforce each other. When poorly designed, they limit organizational performance and potential
- In this class we are looking at the cases of iQmetrix and Semco to look at the design of power in “empowered” organizations.

The Design of Power in Organizations

- How power is designed into organizations is different from how power is used in organizations.
- The more informal processes of influence and persuasion, which most of the research is about, take us beyond issues of organizational design.
- The design of power in organizations is mainly about “authority”
 - That is, who is authorized to do what?

Authority

- is also known as “legitimate” power – it exists because we agree that those with authority have a right to make rules and take decisions that we will comply with.
- In business, authority ultimately rests with ownership. Those who own the business have the right to make rules and take decisions (within the scope of legal/governmental authority).
- Delegation and hierarchy is the way in which organizations have traditionally allocated authority – that is, how they design organizational power.

Executive Power

There are essentially three ways that authorities can influence people they have no interaction with (Etzioni/Ouchi):

- Coercive/Bureaucratic
 - Employees are influenced by authorities because of authority's ability to apply sanctions for non-compliance
- Remunerative/Market
 - Employees are influenced by authorities because they will be rewarded for compliance
- Normative/Clan
 - Employees are influenced by authorities because compliance is congruent with the employees' beliefs and values

- William Gamson has shown how “control” strategies of authorities tend to create specific forms of “influence” tactics by members. These tend to generate different levels of trust and to cohere into fairly stable patterns of relationships at work.
- For example, in the case of “labour and management:

Basis of Authority	Management Control Strategies	Employee Influence Strategies	Dominant Trust Orientation
Coercive Ownership of the means of constraint	Harassment, Disciplinary Layoffs, Insulation, Lockouts	Harassment, Passive resistance, Sabotage, Violence, Strikes	Alienated
Utilitarian Ownership of the means of inducement	Economic inducements and sanctions, promotions, other forms of inducement	Slowdowns, work-to-rule, bargaining.	Neutral
	-----Gainsharing,	Employee Stock Ownership, etc	
Normative Mass ownership of goals and values	persuasion, participation	persuasion, participation	Confident

The Evolution of Power in Org Design

- In bureaucratic organizations authority is vested in roles, tied to the hierarchy. There are good theories about how to best design this kind of power. I strongly recommend Elliott Jaques book “Requisite Organization”.
- As business leaders have searched for better forms of organizing, more adapted to the increasingly volatile, ambiguous and complex environments they operate in, how power is designed has evolved as well, away from coercive toward market and normative

Towards Self-Organizing Organizations

- For the past 50+ years business have been struggling with how to design organizations to optimize efficiency and innovation
- We have clearly articulated theories of the kind of culture required, but not any widely accepted ideas for how to design that in other than leaders have to model it.
- We have well tested theories for how to structure with many good examples
- We now have a couple of practical theories for how to design power for self-organizing, which we will look at in this class.

For structure...

- **The first breakthrough was to divide up and coordinate the work by teams instead of by individuals.**
 - Generates sense of belonging, better mental health
 - Brings a wider set of skills and perspectives
 - Allows for greater variety of work
 - Groups naturally supervise their members; people are more willing to conform to group norms than to obey commands
- The organization still told teams what to do and how to do it and appointed the team's leader (supervisor/manager)

For structure...

- **The next was to make the teams self-managing**
- Teams were told what was expected of them but given authority to decide how to accomplish those goals. Often informal leadership emerges in the team – the team as a whole reports to a manager.
 - Allows for more authority and autonomy
 - Which in turn fosters greater sense of responsibility/accountability
 - Faster resolution of issues
 - Often greater focus on customer needs

For structure...

- **The latest is to make the teams self-organizing**
- Teams decide what they will do as well as how they will do it.
 - Greater responsiveness to environmental changes; the structure itself can adapt rapidly
 - Easier for more radical innovations to get traction
 - Utilizes the collective wisdom – good ideas attract support and bad ideas don't
- In a self-organizing system, teams form and disband continuously in response to opportunities and challenges identified by team members. “Control” comes from having to persuade others you have a good idea worth working on

Designing Power in Self-Organizing Systems

- How can we design power/authority for self-organizing structures?
- Two practical options currently on offer exemplified by Semco and Holocracy

Key Assumptions for the Design of Power

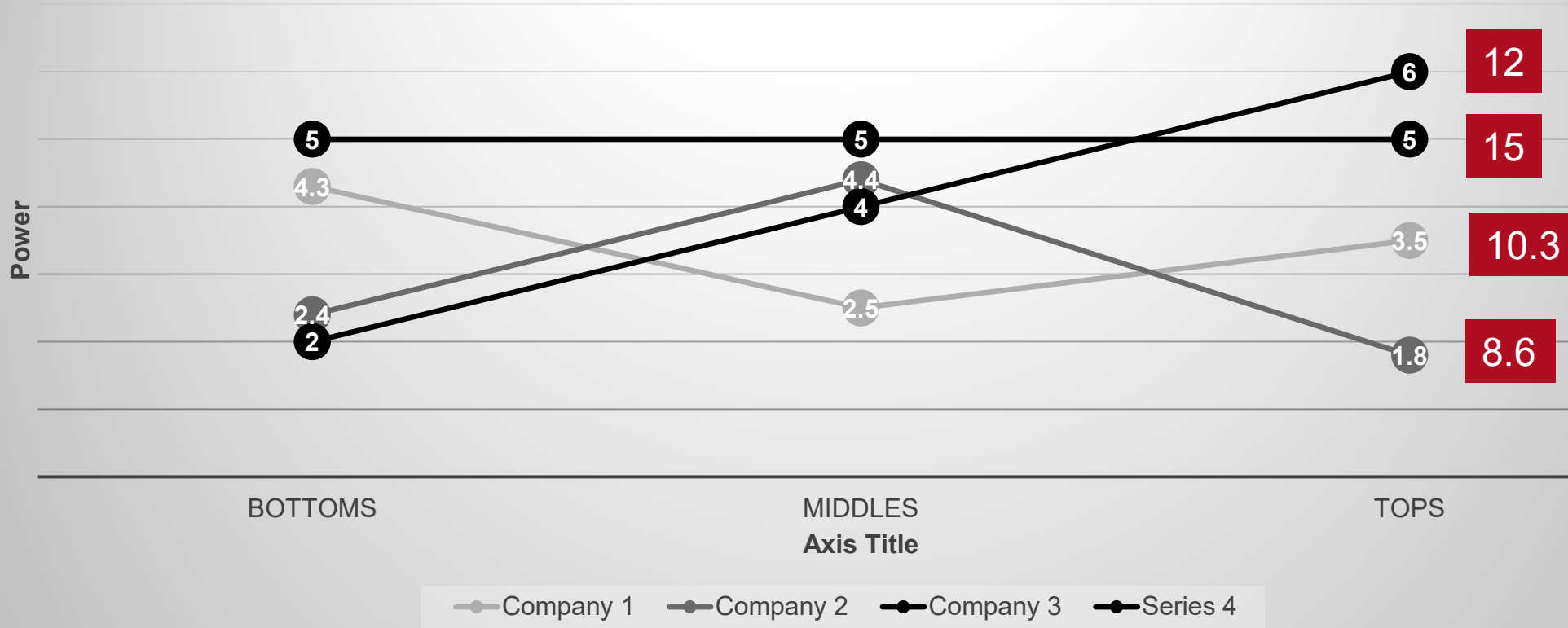
- Authority ultimately comes from ownership and has to be delegated for organizations to function
- Authority is the ability to make decisions that others will follow.
- Power processes (politics) take place with the authority framework
 - Power is a quality of a relationship, not a characteristic of a person
 - Power is always given, not taken – it is normally earned
 - Power is not a zero-sum quantity. If power is the ability to get things done, then everyone's power can be increased or decreased.

Tannenbaum Control Graph Studies

- Workers, managers and executives in hundreds of companies were asked to rate how much power they thought they had.
- There were no patterns – all groups could have little or a lot of power in their own eyes
- Organizational performance, however, correlated strongly with the sum of power: the more everyone felt they had power, the more effective the organization

A.S Tannenbaum, *Control in Organizations*

Tannenbaum Control Graph Studies (60s)



Add up the power total of each level get a total power score for each company

Workers in one organization can feel more power than executives in another organization

The more total power in an organization, the more effective it was on every measure of performance

- This and many other studies led academics to conclude
 - The most useful way to look at power in organizations is the ability to get things done
 - From this point of view, power is more of an exponential than a zero-sum quantity – the more people are willing to act powerfully, the more power everyone has
 - Processes of authorizing, rather than static allocation of authority, is what needs to be designed into organizations
 - How does someone get authorized to make a decision or take an action that others will feel obligated to comply with? How do we make that fluid, yet stable?

One View of the Design of Power in Self-Organizing Systems

- Designing power well is about ensuring that people can influence decisions commensurate with their positions, interests, skills and competencies in the organization for the good of the organization
- One solution is to design power into 3 “positions” that each have a sphere of authority (Bushe)

Shapers (2 %)

- Set the basic parameters of the system
- Are responsible for managing the organization's environment and for anticipating the future
- Make decisions about what business will be pursued, what performance will be assessed (and how), what rewards will be available, and so on.

Integrators (8%)

- Keep the whole running smoothly. They manage the coordination of people and systems
- Facilitate interaction, problem-solving and decision-making so that producers take into account the big picture and shapers take into account the realities of production
- Make decisions about how to use the systems resources and how to best integrate individual efforts for maximum effectiveness

Producers (90%)

- Produce the actual goods and services of the organization
- They are the experts on how to best serve customers
- Make most of the decisions about how goods and services will be produced and delivered

In Self-Organizing Systems, Power is Earned

- Unlike bureaucracy where power and authority come from one's role, in the post-bureaucratic organization power doesn't automatically come with the position.
- People have to gain power by being able to get others to agree with them
- They do this by exercising the skills and abilities that make them able to influence the system for its own good, from the role they occupy

Shapers (2%)

Stewardship creates Followership

- Energizing inputs (resources and vision)
- Correct measures
- Distributing the wealth (incentives)
- Preparing for the future

Producers (90%)

Impeccability creates Clout

- Producing results
- Mastering their craft
- Hearing the voice of the customer
- Willing to say yes – able to say no

Integrators (8%)

Wholeness creates Synergies

- Invited by everyone
- Independent perspective
- Facilitating others' voice
- Truth rules
- Building learning community

Of these three, the Integrator position is the least well understood and designed for

- No “deliverables”
- No bureaucratic sources of power
- It’s just “Schmoozing with a purpose”
- Hard to measure their value until they are gone
- Requires fierce independence and high emotional intelligence

As a result, many attempts to create “empowered orgs” only distinguish between strategic (shapers) and tactical (producers) and either integrators emerge, or the design devolves back to command and control (my opinion).

What are the major differences in how control is designed into Holocracy versus how it is designed into Semco?

Semco	Holocracy
Self-defined roles	Clearly defined roles, elected
Clear senior/strategic leadership	Clear co-governance structure – Anchor Circle (role of senior leaders?)
More emergent (no rule books)	More prescriptive (lots of standardized processes)
Organizations kept under 150	No limitations on size
People mostly stay in their teams but encouraged to rotate every few years	People are members of more than one team
The rule of common sense	Highly standardized decision processes
Transparency of “numbers”	Detailed clarity of purpose, circles, roles and decision-making
Decisions through voting	Decisions through non-objections
Profit sharing	(not prescribed)

For class prepare to discuss

- Should iQmetrix adopt Holocracy?
- and what should iQmetrix pay attention to if it transitions to a Holocratic design?